



was not handling our portfolio or else it would have been very different.” I had nothing to say to this inexperienced, overconfident young man. The proud father supported him. The son soon became an active player in the markets. Then, in 1995/1996 the markets crashed. This money was lost, the father had a stroke and the family had to leave Mumbai and settle down in their hometown in Gujarat. All this because of the son’s overconfidence. There are many others like him. My advice is, respect the markets. They are interesting because we cannot understand them.

A word of caution: Any individual who is not professionally occupied in the financial industry, and even most of those who are, and who in any way attempts to actively manage an investment portfolio is probably suffering from overconfidence.

Successful investors sometimes believe that they are skilful because they are doing well with their investments. However, they fail to realise that their investment performance is the result of the stock market performance, not necessarily their individual abilities. In bullish times the stock markets are up and so is the performance of most of the mutual funds. By definition they capture the mutuality of the markets. It is at this point that fund managers can become overconfident and go all out to garner more business. There is a famous saying, “A rising tide lifts all boats”. A corollary to that would be “A rising market lifts all egos”.

At present our fiscal deficit is alarming but the markets believe we will tide over this impending crisis. Should the markets crash, as it portends, the analysts will blame the government’s fiscal imprudence. But today one would be a fool to short sell because it does not pay to go against the herd in the short run. Moreover no one can predict when this predictable surprise will come.



Anchoring and Adjustment

Example I

Jal: *“I need Rs. 50 lakhs urgently for my business. I have some gold and I want to sell it. Can you help me?”*